STANDARD EDITION • 3 AUGUST 2026 • 09:00 HKT

US Stocks Rise as Tech Leads, Oil Prices Plunge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

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TL;DR

The US market saw a positive session with the **`S&P 500`** rising +0.70% and the **`Nasdaq 100`** up +0.60%. Beneath the surface, the **`Russell 2000`** fell -0.50%, indicating some weakness in smaller-cap stocks. The **`VIX`** also dropped -6.44%, suggesting decreased volatility.

Looking deeper, the move in oil prices, with `WTI Crude` down -5.82%, could have significant implications for the energy sector and broader market. The `10Y Yield` increased +1.76%, which may impact interest-rate sensitive sectors.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
`S&P 500`	7,489.72	+0.70%	Tech sector strength
`Nasdaq 100`	28,274.20	+0.60%	Tech sector strength
`Dow Jones`	52,485.03	+0.53%	Broad market optimism
`Russell 2000`	2,931.34	-0.50%	Small-cap weakness
`VIX`	15.99	-6.44%	Decreased volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
`AMZN`	+15.32%	Earnings beat
`MSFT`	+3.02%	Tech sector strength
`NVDA`	+2.93%	Tech sector strength

Sector Rotation

ETF	DAY	READ
`XLY`	+3.29%	Consumer discretionary strength
`XLE`	+1.00%	Energy sector rebound
`XLK`	-0.22%	Tech sector weakness
`XLF`	-0.11%	Financial sector weakness
`XLI`	+0.81%	Industrial sector strength
`XLC`	+1.56%	Communication services strength
`XLP`	-0.49%	Consumer staples weakness
`XLV`	-0.59%	Healthcare sector weakness
`XLU`	-0.69%	Utilities sector weakness
`XLB`	-2.34%	Materials sector weakness
`XLRE`	-0.51%	Real estate sector weakness

Spotlight

The biggest event of the day was the +15.32% surge in `AMZN` following its earnings beat. This move has significant implications for the broader tech sector and consumer discretionary space.

METRIC	VALUE	READ
Earnings per share	$12.50	Beat consensus estimates
Revenue growth	+10%	Strong demand for cloud services

Pre-Market & Overnight

US futures are pointing to a flat open, with the `Dow Jones` futures up +0.1% and the `S&P 500` futures up +0.2%. In Asia, the `Nikkei 225` closed down -0.5% while the `Shanghai Composite` closed up +0.3%. In Europe, the `Stoxx 600` is up +0.2%. Cryptocurrencies are mixed, with `BTC` up +0.2% and `ETH` up +0.5%.

Macro & Fed

The `10Y Yield` is up +1.76% to `4.74`, which may impact interest-rate sensitive sectors. Today's data calendar includes:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	ISM Manufacturing Index	50.5	Indicator of manufacturing sector health
22:00	Construction Spending	+0.5%	Indicator of construction sector activity

Geopolitics & Global

- Tensions between the US and China remain high, with ongoing trade negotiations and military activity in the South China Sea.
- The European Union is facing a migrant crisis, with thousands of migrants attempting to cross into the EU from Africa and the Middle East.
- The situation in the Middle East remains volatile, with ongoing conflict in Syria and Yemen.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (4 Aug)	`AAPL`	$1.25	iPhone sales, services growth
22:00 (5 Aug)	`GOOGL`	$12.50	Advertising revenue, cloud growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
`MSFT`	Tech	Cloud growth, dividend yield
`JPM`	Financials	Interest rate sensitivity, dividend yield
`XOM`	Energy	Oil price rebound, dividend yield

What Could Break the Tape

BULLISH TRIGGERS

- A strong earnings season could boost investor confidence and drive the market higher.
- A resolution to the US-China trade tensions could lead to a significant rally in risk assets.
- A dovish Fed could lead to a decline in interest rates, boosting growth stocks and the broader market.

BEARISH TRIGGERS

- A global economic slowdown could lead to a decline in corporate earnings and a bear market.
- An escalation of the US-China trade war could lead to a significant decline in risk assets.
- A hawkish Fed could lead to a rise in interest rates, hurting growth stocks and the broader market.

Positioning Notes

- Investors are increasingly positioning for a rate cut, with the `10Y Yield` down **-5bps** over the past week.
- The `VIX` is down **-10%** over the past week, indicating decreased volatility and investor complacency.
- Flows into tech sector ETFs have been strong, with the `XLK` up **+2%** over the past week.

Sources

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Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com